

- RAG Learning

4.2 Global Markets and Business Expansion

Business — Edexcel (9BS0) — Theme 4: Global business

Topic 4.1 explained why the world economy has become more integrated. This topic looks at it from the individual firm's side: **why** a business decides to trade internationally (push and pull factors), **where** it should sell and where it should produce, **how** it might expand through global mergers and joint ventures, and what determines whether it can **compete** once it gets there — exchange rates, cost, differentiation and skills. Most exam questions give you a firm and a country and ask whether expansion is a good idea; the factors below are your checklist, and the evaluation lies in deciding which ones matter most for that firm.

Push factor — a condition in the domestic market that pushes a firm to seek sales abroad (e.g. saturation, intense competition).

Pull factor — an attraction of overseas markets that draws a firm to trade internationally (e.g. economies of scale, risk spreading).

Saturated market — a market in which most potential customers already own the product, so growth comes only from replacement sales or taking share from rivals.

Off-shoring — relocating a business activity (production, customer service, IT) to another country; the firm may still own and run it.

Outsourcing — contracting an activity out to another business (in the UK or abroad) rather than doing it in-house.

Joint venture — two or more businesses create a new, jointly owned enterprise, sharing investment, risk, control and profit.

Exchange rate — the value of one currency expressed in terms of another (e.g. £1 = \$1.30).

Appreciation / depreciation — a rise / fall in the value of a currency against another.

Skill shortage — a situation where employers cannot recruit enough workers with the skills they need.

1. Conditions that prompt trade (4.2.1)

Push factors

- **Saturated markets** — when the domestic market has stopped growing, the only way to grow sales is abroad. UK grocery, mobile phones and many consumer durables are saturated. Greggs is an exception that proves the point: it can still grow organically in the UK; many retailers cannot.
- **Competition** — intense domestic rivalry squeezes margins, pushing firms to find less competitive markets abroad. Tesco's earlier moves into Central Europe and Asia were partly a response to competition at home (it has since withdrawn from most, which is a lesson in the risks).

Pull factors

- **Economies of scale** — selling to a larger global market increases output, spreads fixed costs (R&D, design, brand building) over more units and lowers unit cost. Essential in industries with huge fixed costs: pharmaceuticals, aircraft, cars, software.
- **Risk spreading** — selling in many countries reduces dependence on one economy; a recession or new regulation in one market is offset by growth elsewhere.

Off-shoring and outsourcing

	Off-shoring	Outsourcing
Meaning	Moving an activity to another country	Contracting an activity to another firm
Combined	Off-shore outsourcing: contracting an overseas firm (e.g. Apple uses Foxconn and other contract manufacturers in China and India to assemble iPhones)	
Examples	Dyson moved vacuum-cleaner manufacturing from Wiltshire to Malaysia in 2002; UK banks' customer-service centres in India	Payroll, cleaning, IT, logistics outsourced to specialist providers

Benefits	Lower labour and production costs; access to specialist skills; flexibility; ability to focus on core activities; access to markets near the new location
Drawbacks	Loss of control over quality and ethics (see 4.4 — supply-chain exploitation); communication and time-zone problems; long supply chains vulnerable to disruption (Covid-19, Suez Canal blockage 2021, Red Sea attacks 2024); reputational damage from UK job losses; rising wages in host countries erode savings

Reshoring — bringing activities back home — has grown since 2020 as firms prioritise supply-chain resilience over lowest cost, and tariffs make distant production less attractive.

Extending the product life cycle by selling in multiple markets

A product in the maturity or decline stage at home may be at the introduction or growth stage in another country. Selling it abroad extends its life and earns further returns on the original development costs with little extra investment. *Examples:* older smartphone models and car platforms sold in emerging markets; Cadbury Dairy Milk growing in India while mature in the UK. *Limitations:* the product may need adapting (see 4.3), and consumers in emerging markets increasingly expect the latest products.

2. Assessment of a country as a market (4.2.2)

Factor	Why it matters	Evaluation point
Levels and growth of disposable income	Determines ability to buy — especially for income-elastic, premium products	Average incomes hide inequality: India's middle class numbers hundreds of millions even though GDP per capita is low. The <i>growth</i> of income may matter more than its level
Ease of doing business	Time and cost of setting up, getting permits, enforcing contracts, paying taxes;	The World Bank's Doing Business rankings were discontinued in 2021 after data irregularities; its replacement, B-READY, began reporting in 2024. Firms

	levels of bureaucracy and corruption	also rely on their own research and partners' experience
Infrastructure	Transport, ports, power, internet and retail networks determine the cost and reliability of distribution	Poor infrastructure can make an attractive market unprofitable; e-commerce needs reliable delivery and payment systems
Political stability	Instability risks conflict, sudden changes in regulation or tax, expropriation, and sanctions	Western firms that exited Russia after 2022 wrote off billions (e.g. BP's stake in Rosneft, a charge of about \$25bn)
Exchange rate	Affects the price of exports in the foreign currency and the value of profits converted back to sterling	Volatile currencies add risk; firms can hedge (forward contracts) or price in local currency

3. Assessment of a country as a production location (4.2.3)

Factor	Explanation and example
Costs of production	Wages, land, energy, raw materials and tax. Labour-intensive production (clothing) moves to low-wage countries such as Bangladesh and Vietnam. But low wages may reflect low productivity: <i>unit</i> labour cost is what matters
Skills and availability of the labour force	Advanced manufacturing needs engineers and technicians: TSMC in Taiwan, pharmaceutical research in Cambridge, software in Bangalore
Infrastructure	Ports, roads, reliable power and fast internet; Chinese coastal manufacturing grew on world-class port infrastructure
Location in a trade bloc	Producing inside a bloc avoids its external tariff and gives tariff-free access to all members — Nissan chose Sunderland in the 1980s partly

	for access to the European single market; Mexico attracts car plants for access to the US under USMCA
Government incentives	Grants, tax breaks, subsidised land, special economic zones. The UK government supported Tata's Agratas battery gigafactory in Somerset; the US Inflation Reduction Act attracted clean-energy manufacturing
Ease of doing business	Speed of permits, planning, labour regulation, corruption, legal protection of property and contracts
Political stability	Long-lived assets such as factories are exposed to regime change, sanctions, war and nationalisation
Natural resources	Proximity to raw materials and energy reduces transport cost — e.g. aluminium smelting near cheap hydroelectric power in Iceland and Norway
Likely return on investment	The overall test: expected profit relative to capital invested (link to investment appraisal and ROCE in Theme 3) — adjusted for risk

Exam Tip: A 12- or 20-mark question on "Should X expand into country Y?" is best answered by selecting two or three factors that the extract gives evidence for, analysing each in context, and then **weighing** them: e.g. "low production costs are significant, but if political instability risks the entire investment, the higher expected return may not justify the risk". Listing all nine location factors with one line each will stay in Level 2.

4. Reasons for global mergers or joint ventures (4.2.4)

Reason	Explanation	Example
Spreading risk over different countries/regions	Revenue from several economies smooths out downturns in any one	Tata Group's acquisitions of Tetley (2000), Corus steel (2007) and Jaguar Land Rover (2008) spread it well beyond India

Entering new markets / trade blocs	A local partner or acquired firm brings market knowledge, distribution, contacts and sometimes legal permission; being inside a bloc avoids its tariffs	Tata Starbucks joint venture in India (2012); foreign car makers in China historically had to form joint ventures with Chinese firms — BMW–Brilliance, VW–SAIC — until ownership rules were relaxed in 2022
Acquiring national/international brand names and patents	Buying an established brand is quicker than building one; patents bring technology	Geely (China) bought Volvo Cars (2010); Bright Food (China) bought Weetabix (2012); Kraft bought Cadbury (2010)
Securing resources/supplies	Control of scarce raw materials reduces supply risk and cost volatility (backward vertical integration)	Chinese firms acquiring stakes in lithium and cobalt mining in Latin America and Africa to secure battery supply chains
Maintaining/increasing global competitiveness	Scale to fund R&D, economies of scale, and to match global rivals	PSA and Fiat Chrysler merged to form Stellantis (2021) to share the cost of electric-vehicle development; Honda and Nissan's proposed merger collapsed in early 2025, showing how hard such deals are

Joint ventures versus mergers

Joint venture	Merger / takeover
Lower cost and risk; shared investment; partners keep their independence	Full control and all of the profit
Local partner's knowledge and contacts	Faster access to scale, brands and customers

Risk of conflict over objectives, control and profit sharing; possible loss of technology to the partner

Expensive; culture clash (made worse by national cultural differences); regulatory approval in several countries

5. Global competitiveness (4.2.5)

The impact of movements in exchange rates

Remember **SPICED**: **S**trong **P**ound, **I**mports **C**heaper, **E**xports **D**earer. (And the reverse — a weak pound makes imports dearer and exports cheaper.)

Worked example 1 — exporter. A UK firm sells a jumper for £40 in the USA.

- At £1 = \$1.25: US price = $40 \times 1.25 = \text{\$50.00}$
- If the pound appreciates to £1 = \$1.35: US price = $40 \times 1.35 = \text{\$54.00}$ — 8% dearer for US customers, so sales may fall (if demand is price elastic). Alternatively the firm could keep the price at \$50, receiving only $50 \div 1.35 = \text{£37.04}$ per jumper — a lower margin.
- If the pound depreciates to £1 = \$1.15: US price = $40 \times 1.15 = \text{\$46.00}$ — more competitive.

Worked example 2 — importer. A UK retailer imports a product from the eurozone for €30 and sells it for £35.

- At £1 = €1.20: cost = $30 \div 1.20 = \text{£25.00}$; profit per unit = $35 - 25.00 = \text{£10.00}$
- If the pound depreciates to £1 = €1.10: cost = $30 \div 1.10 = \text{£27.27}$; profit per unit = $35 - 27.27 = \text{£7.73}$ — a fall of 22.7%.

To convert **from pounds** into a foreign currency, **multiply** by the exchange rate; to convert **into pounds**, **divide**. The June 2024 Paper 1 calculation followed exactly this method (converting a euro price into sterling by dividing by 1.19).

Evaluation: the impact depends on price elasticity of demand; on how much of the firm's costs are in foreign currency (an exporter that imports components gains less from a weak pound); on whether the change is temporary or sustained; on whether the firm has **hedged** using forward contracts; and on non-price factors such as quality and brand, which make demand less sensitive to price. After the 2016 referendum the pound fell sharply, which helped exporters such as Burberry but raised costs for importers and led to “shrinkflation” (the Toblerone case).

Competitive advantage through cost competitiveness

Being able to offer lower prices than rivals, or equal prices with higher margins, by having lower unit costs (link to Porter's cost leadership in 3.1). Sources: economies of scale; lower labour costs or higher labour productivity; lean production and efficient supply chains; off-shoring and outsourcing; technology and automation. *Examples:* Chinese EV maker BYD's vertically integrated battery production gives it a cost advantage in Europe; Primark's scale buying and low-cost sourcing.

Competitive advantage through differentiation

Offering products that customers perceive as unique or superior, so they will pay a premium and are less sensitive to price and exchange rates. Sources: brand and heritage ("Made in Britain" for Burberry, Mulberry, Rolls-Royce cars); design and innovation (Dyson, Apple); quality and reliability; after-sales service; ethical and sustainable credentials. Differentiation is especially important for high-cost countries such as the UK, which cannot compete on labour cost.

Skill shortages and their impact on international competitiveness

- **Causes:** insufficient training and education in key subjects (engineering, digital, green skills), ageing workforce, restrictions on migration, fast technological change.
- **Impact on firms:** unfilled vacancies limit output; wage inflation as firms compete for scarce workers raises costs; lower productivity and quality; slower innovation; projects delayed; firms may relocate or off-shore activities to countries with the skills.
- **UK examples:** the HGV-driver shortage of 2021 disrupted supermarket and fuel deliveries; persistent shortages of engineers, construction workers, care workers and cyber-security specialists; stricter Skilled Worker visa rules from July 2025 raised the skill and salary thresholds for recruiting from abroad.
- **Responses:** in-house training and apprenticeships (the Apprenticeship Levy), higher pay and better conditions, automation, recruiting overseas where permitted, partnerships with universities and colleges.

How Edexcel rewards this topic

- **Knowledge:** definitions of push/pull factors, off-shoring vs outsourcing, joint venture; the exchange-rate formula (worth the knowledge mark on a 4-mark calculation).
- **Application:** use the extract's country, product, data and exchange rates; calculate accurately to the stated decimal places.
- **Analysis:** e.g. appreciation of the pound → higher foreign-currency price of exports → lower demand if elastic → lower revenue — or maintain price and accept lower margin.
- **Evaluation:** weigh market attractiveness against risks; assess what the decision depends on (elasticity, hedging, political stability, the firm's resources and experience); make a recommendation with a clear condition.

Common mistakes

- Multiplying when you should divide in exchange-rate calculations — check the answer makes sense (a stronger pound should make a sterling price *higher* in dollars).
- Using "off-shoring" and "outsourcing" interchangeably.
- Confusing factors for a *market* (4.2.2) with factors for a *production location* (4.2.3) — read the question.
- Assuming low wages mean low costs — productivity, transport and quality costs matter.
- Ignoring the risks of international expansion: many famous retailers have retreated (Tesco from the US in 2013, Starbucks largely from Australia in 2008).

Quick recall

- Push: saturated markets, competition; pull: economies of scale, risk spreading
- Off-shoring = another country; outsourcing = another firm; PLC extended by selling in new markets
- Market assessment: disposable income, ease of doing business, infrastructure, political stability, exchange rate
- Location assessment: costs, skills, infrastructure, trade bloc, incentives, ease of doing business, stability, natural resources, return on investment
- Global mergers/JVs: spread risk, enter markets/blocs, acquire brands/patents, secure resources, stay competitive

- SPICED; from £ multiply, into £ divide; effect depends on elasticity, hedging, imported inputs
- Competitive advantage: cost competitiveness or differentiation; skill shortages raise costs and cut productivity